chairmanship of Dr. C. Rangarajan in 2012. It submitted its report in 2014.

- It adopted the method of calorie based methodology as in the past. In addition it accounted for nutrition, fat and other essential non-food items to arrive at poverty line.
- It fixed ₹ 972 per capita per month as poverty line for rural area and ₹ 1407 for urban area at 2011-12 prices.
- The poverty ratio at all India level for 2011-12 comes to 29.5 per cent and 38.2 per cent in 2009-10.

Ability to Pay Based Poverty Line

The author of this book in his article '*Poverty Redefined*'[2] published in *Business Line* on July 2, 2014 argues to fix poverty line at the level of Basic Exemption Limit (BEL) fixed for income tax purpose. This limit is fixed on the principle of ability to pay. The basic exemption limit is fixed at a level where the people are considered rich enough to part with their income for general cause in the form of tax. It means, at that level a person is considered rich. So the author calls to name people as poor whose income is below this limit.

The basic exemption limit is for individual. Even if a family has only one earning member he is charged to tax if his income is above this limit. So, the author calls to divide the BEL by five as the average family size in India is for a family. For example if the BEL is five which is the least tax exemption available ₹ 2,00,000 the exemption available per person of a family of five is ₹ 40,000 per year. This amount needs to be fixed as poverty line. It means poverty line needs to be fixed at 20 per cent of BEL.

Employment and Unemployment

NSSO conducts Employment and Unemployment Surveys along with Consumption Expenditure Survey. The employment and